

LECTURE: ##5

Date

Competition is for losers (Peter Thiel)

⇒ Completely obsessed with what you are doing.

1. Capturing Value

- * A business creator * X dollars of value and captures $Y\%$ of X
- * X and Y are independent values.
- * You need to create something that is valuable and capture the value from it.

PERFECT COMPETITION

pros:

- * easy to model
- * efficient in a static world
- * politically salable.

cons:

- psychologically unhealthy
- irrelevant in a dynamic world
- preempts question of value.

MONOPY.

⇒ much stable for longer term businesses.

pros

- * Incentive to innovate
- * stable, long-term planning
- * deeper project financing
- * symptomatic of creation.

cons

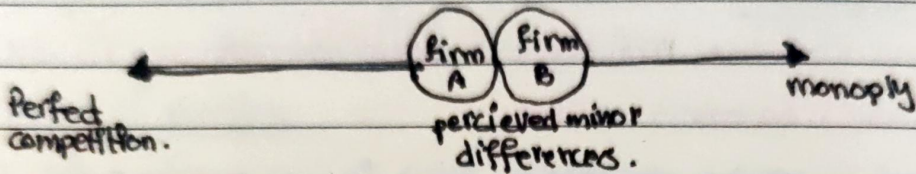
- * lower output, higher prices
- * price discrimination.
- * stifle innovation.
- * tying

* There are businesses that are extremely competitive or there are those who have an extremely strong monopoly.

↳ There is an extremely low fraction of the businesses that are in between.

2. Lies People tell

* People with ~~the~~ monopolies often tend to say that they do not have monopolies.



* However, the ~~distortion~~ distortion between the ~~the~~ competition and the monopoly is extremely huge.

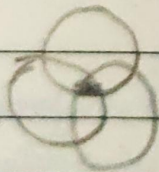
NARRATIVES:

non-monopolies

"we're in a narrow market"

Relevant market

$A \cap B \cap C$

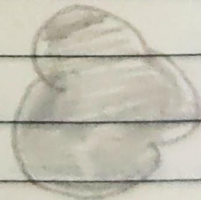


monopolies

"we are in a huge market"

Relevant market

$A \cup B \cup C$



* incredibly hard to make money.

* Pattern recognition when something does not work.

THE SEARCH MARKET

* There are different ways to project each growth about a certain factor.

* Google, Showcases, itself as advertisement, innovation, etc.

* The companies do not know ~~what~~ what to do with the money.

HOW TO MAKE A MONOPLY

THE RIGHT SIZE

Start small and monopolize.

- * It's easier to dominate a small market than a large one.
- * If you think your initial market might be too big, it almost certainly is.
- * monopoly is that you have a large share of market.
- * If you startup with a large market, you will have a large market.

→ Large companies often start with markets that are extremely small.

START BIG AND SHRINK.

The Characteristics of Monopoly

- * In technology, one thing only happens once and there is no such repetition of that thing going ahead and after.
- * Unique businesses are doing something that's never been done before.
- * In technology you need to have an idea that is better than the next idea.
- * Order of magnitude of more an improvement.
- * Branding creates value.

SOFTWARE

↓
Economies of scale are growing.

* The value of the company exists just and you need to be the last person in the stream.

Date

Silicon valley → values growth rate.
→ undervalues durability.

* Dominates the value of the equation.

Characteristics.

- 1- proprietary technology
- 2- network effects.
- 3- economies of scale
- 4- branding.

* There is a time dimension to all of these effects.

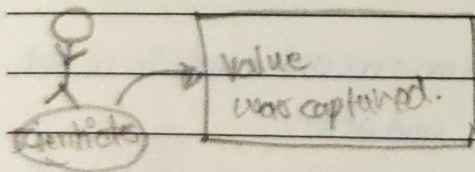
* You don't want to be superseded by anyone else

VALUE OF THE FUTURE

HISTORY OF INNOVATION

* 250-300 years of technological innovation.

* Some of the things can be extremely where they are innovative.



⇒ V is almost zero percent in science and technology.

Vertically integrated monopolies.

* Build in second industrial revolution.

* Complex co-ordination.

* Connecting all the pieces together.

* Complex vertically integrated monopoly.

* Innovation in all of the perspectives.

CATEGORIZATION OF MONOPOLY. CREATED IN 250 YEARS.

slow/LATE markets.

* small and muddled market growth.

* Rationalized pen.

obscure the fact of the new ones.

- * "Business is where you capture these rationalizations".
- * "We should not let rationalization overcome our thoughts."

PSYCHOLOGY OF COMPETITION

- * "losers" $\Rightarrow$ people who can't compete.
- * People lie about it and it is a psychologically brilliant.
- * Problematic think as a sort of thing.

COMPETITION VS VALIDATION

- * Does the tournament make sense as you keep going?
- * Function of the logic of the situation.
- * Personal version and you wanted to get into Stanford.
- * ~~Competition~~ Competition makes you better, but you start asking that always take a few questions.

we are way too focused
on the operation